

Lululemon Athletica

NASDAQ : LULU · \$13.27B mkt cap · 114M sh · \$1.8B cash, zero debt · \$1.8B cash, no debt; ~114M shares; heavy buyback, no dividend; Revenue \$11.1B
Mature-Company FY25 (+5%, decelerating from +42%); ~22% op margin, ~\$1.58B FCF; Down ~60% from the \$340 high; US declining,
DCF China/international +20-29%

\$116.40

THE CENTRAL QUESTION

Is lululemon's ~60% de-rating to ~10x FCF an overshoot on a still-profitable premium brand — or the early innings of structural brand impairment (US decline, Alo/Vuori share loss)?

Lululemon trades at ~\$15B (≈\$127/sh, down ~60% from \$340) — ~10x FCF on \$11.1B revenue, ~22% operating margins, net cash and a heavy buyback. Growth has decelerated hard (+42%→+5%, guided +2-4%): the US is shrinking (-1 to -3%) while China/international compound +20-29%. The mature DCF asks whether the brand stabilizes and defends margins, or whether dupes (Alo, Vuori) and stale product structurally impair it. The finding: even pricing real brand-impairment downside (ultra-bear -34%), the modal stabilization case at 10x FCF implies the de-rating overshoot.

PROBABILITY-WEIGHTED EXPECTED VALUE

\$209.94 expected fair value today
+80.4% vs spot \$116.40

FORWARD COMPOUNDED VALUE

+5y	+10y	+15y	+20y
\$332.91	\$528.59	\$840.41	\$1,338.00
2.86× spot	4.54× spot	7.22× spot	11.49× spot

WEIGHTING RATIONALE

Ultra Bear 15% Brand impairment; US decline; ~\$85 (-34%).

Bear 32% Share loss; US shrinks; ex-growth; ~\$158 (+24%).

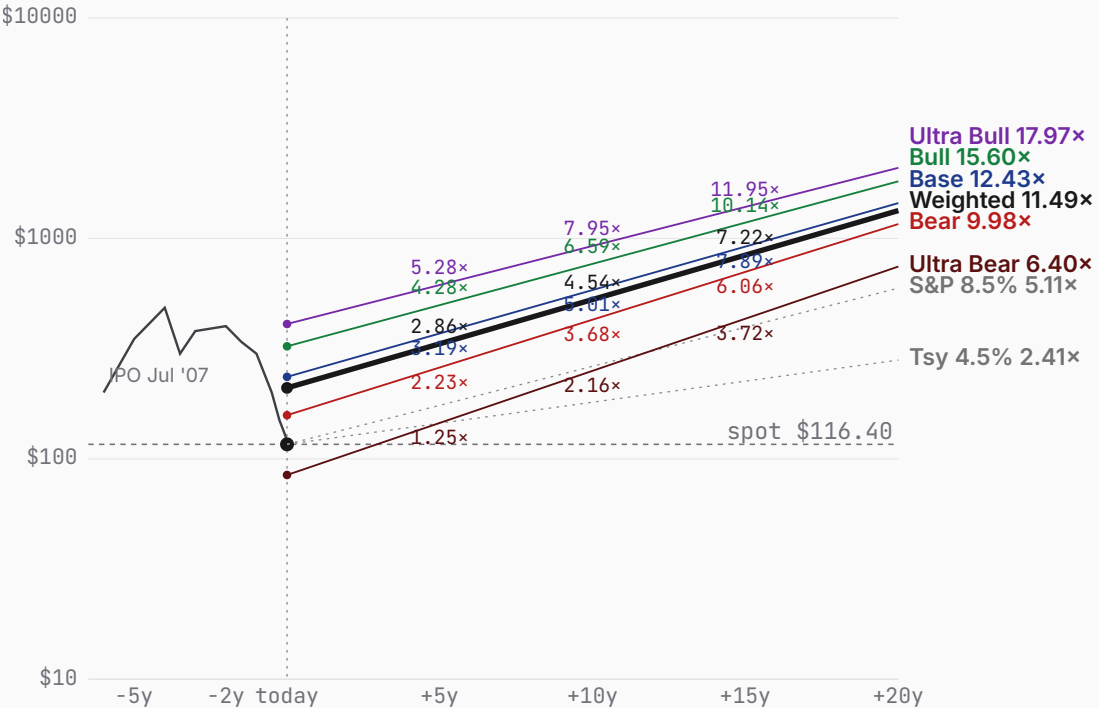
Base 33% US stabilizes + China/intl; ~\$236 (+85%).

Bull 15% New-CEO turnaround; ~\$324 (+155%).

Ultra Bull 5% Full re-rate + China; ~\$409 (+222%).

Bull (15%) + Ultra Bull (5%) together contribute \$69.06 — 33% of the \$209.94 expected value despite 20% combined probability. Today's spot (\$116.40) sits 45% below the weighted expected; forward-weighted value crosses spot between +5y and +10y.

PRICE + PROJECTIONS · HISTORICAL THROUGH PROBABILITY-WEIGHTED FORWARD



ULTRA BEAR	\$84.51	BEAR	\$157.77	BASE	\$235.52	BULL	\$324.02	ULTRA BULL	\$409.07
	-27.4% vs spot		+35.5% vs spot		+102.3% vs spot		+178.4% vs spot		+251.4% vs spot
CAGR -3.8% WACC 11.5% CAGR -3.8% Prob 15%		CAGR +1.0% WACC 10.5% CAGR +1.0% Prob 32%		CAGR +4.2% WACC 9.5% CAGR +4.2% Prob 33%		CAGR +6.6% WACC 9.0% CAGR +6.6% Prob 15%		CAGR +9.2% WACC 8.5% CAGR +9.2% Prob 5%	
Brand impairment; US decline; margins crater.		Share loss continues; US shrinks; capped.		US stabilizes; China/international compounds.		New-CEO turnaround; margin recovery.		Full re-rate; China + footwear scale.	

PROBABILITY WEIGHTS

Ultra Bear 15% Bear 32% Base 33% Bull 15% Ultra Bull 5% · Weighted expected \$209.94 (+80.4% vs spot)

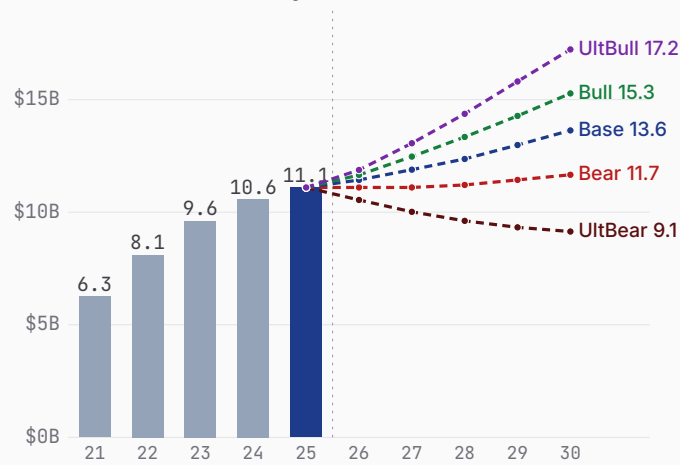
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Probability 15%		Probability 32%		Probability 33%		Probability 15%		Probability 5%	
Brand impairment; US decline; margins crater.		Share loss continues; US shrinks; capped.		US stabilizes; China/international compounds.		New-CEO turnaround; margin recovery.		Full re-rate; China + footwear scale.	
WHY 15%		WHY 32%		WHY 33%		WHY 15%		WHY 5%	
The genuine bear: the founder himself called the product stale, US (50%+ of sales) is already declining, and DTC share fell 30%→24% in a year. 15% weight on real brand impairment.		Share loss continues and the dupe pressure caps the multiple, but the brand doesn't break. 32% weight as the plausible 'stalls but survives' path given the bearish US momentum.		Requires US stabilization (not re-acceleration) plus continued international compounding — consistent with FY26 guidance. 33% as the central outcome; the brand's cornered-resource fabrics + community don't vanish.		O'Neill's product fix works and the US re-accelerates while international compounds — a real turnaround. ~15% weight; lululemon has done it before.		Everything works — US turnaround AND China AND categories AND a multiple re-rating. ~5%, the asymmetric upside the depressed entry is buying.	
WHAT HAPPENS		WHAT HAPPENS		WHAT HAPPENS		WHAT HAPPENS		WHAT HAPPENS	
Brand heat fades like Under Armour's: US revenue keeps declining, Alo/Vuori and dupes take share, and the full-price model erodes into promotions. Revenue falls ~4%/yr; operating margins compress toward single digits.		The US stays soft and international decelerates; lululemon holds its position but doesn't grow, and tariffs/promotions keep margins below the historical peak. Revenue roughly flat, low-teens FCF margin.		The modal path: the US stabilizes under new CEO Heidi O'Neill (ex-Nike) while China/international keep compounding ~20%, blending to ~4% total growth at a defended ~22% operating margin.		The turnaround lands: product newness re-accelerates the US, international/China stay hot, footwear/men's scale, and margins recover toward 24%. Revenue compounds ~7%.		The full turnaround: China becomes a second home market, footwear/men's/international all compound, and lululemon re-rates to a premium growth multiple. Revenue ~10% CAGR at peak margins.	
A shrinking premium brand earns a distressed multiple — DCF ~\$85, ~33% below spot. The net cash and buyback cushion the floor but can't offset structural impairment.		DCF ~\$158 (+24%) — even a 'dominant but ex-growth' brand at ~11x FCF is worth more than today's price; the de-rating already prices worse.		DCF ~\$236 (+85%). A stabilizing premium brand at 10x FCF with a long international runway is simply mispriced if the modal case plays out — the core of the thesis.		DCF ~\$324 (+155%) — back toward the old growth-compounder valuation as the brand re-rates with the fundamentals.		DCF ~\$409 (+222%) — the brand reclaims its compounder status; ~5% probability.	

Lululemon Athletica business snapshot

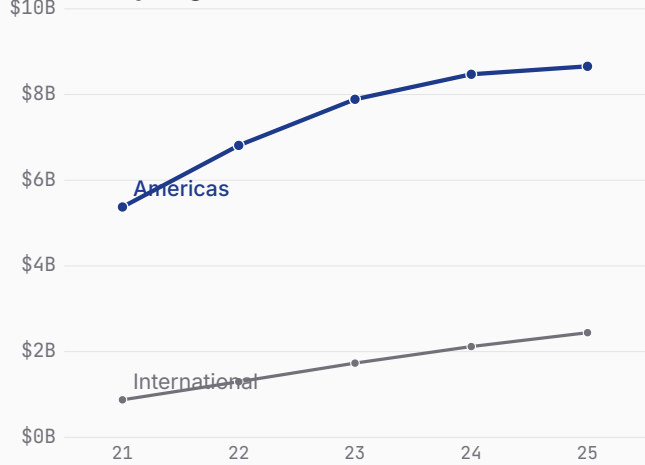
Bear \$157.77 Base \$235.52 Bull \$324.02

FY21-FY25 history + FY26-FY30 scenario projections · fiscal years end late Jan · FY2025 (Feb'26) results

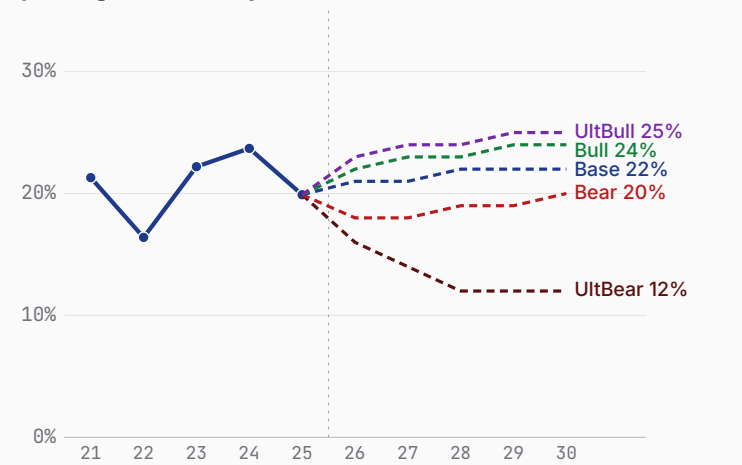
Revenue (\$B) — history + scenarios to FY30



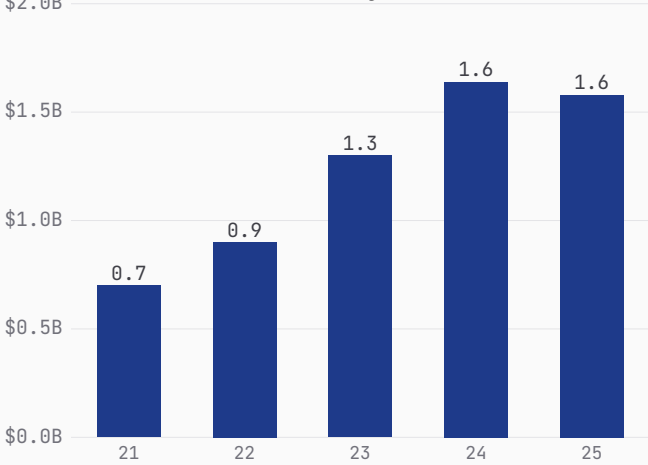
Revenue by segment (\$B)



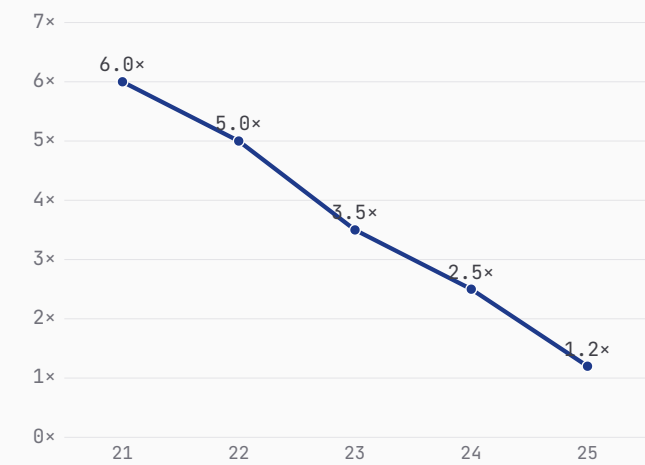
Op margin — history + scenarios



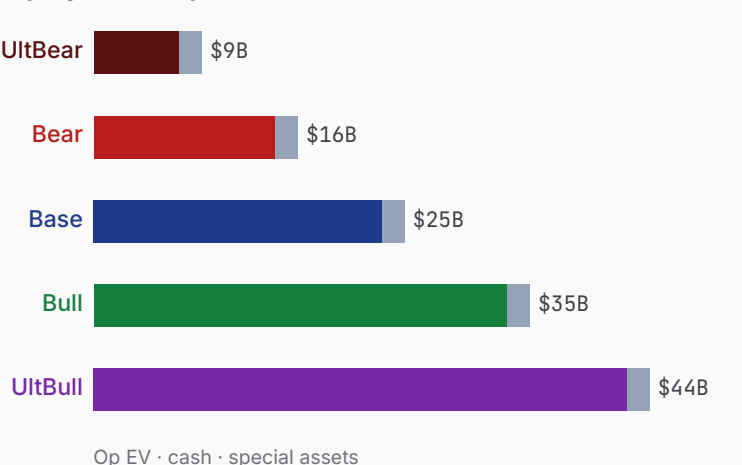
Free cash flow (\$B) — history



EV / Revenue — historical



Equity build (Op EV + net cash)



Sources: lululemon FY2025 results (year ended Feb 1, 2026; revenue \$11.1B, FCF ~\$1.58B, net cash ~\$1.8B), FY2026 guidance, Earnest/Retail Dive share data. Revenue as a growth-rate path off FY25; FCF = revenue x FCF margin; Gordon terminal at scenario WACC. EV/sales vs premium-apparel peers.

Lululemon Athletica 7 Powers · the moat, scored

Bear \$157.77 Base \$235.52 Bull \$324.02

Arena. Premium athleisure — lululemon (brand + proprietary fabrics, ~60% DTC) vs Nike, Alo Yoga, Vuori, Athleta, On, fast-fashion dupes; defending a premium brand Power as US share erodes. **POWER AUDIT** dominant-power durability: medium

POWER AUDIT · 7 POWERS

Scale Economies	Sourcing/marketing leverage at \$11B revenue, but apparel scale is limited vs Nike.
Network Economies	Community/ambassadors are brand affinity, not a hard network.
Counter-Positioning	Was the women's-first disruptor; now the incumbent being counter-positioned by Alo/Vuori.
Switching Costs	Weak — apparel is promiscuous; this is why dupes bite.
Branding · thesis leans here	The dominant Power: premium pricing, cult community, ~58% gross margin — but eroding in US (DTC share 30%→24%).
Cornered Resource	Proprietary fabrics (Nulu/Luxtreme/Everlux) + fit/quality + patents — durable, the hardest piece to dupe.
Process Power	Design/supply learning curve; modest.

PEER SET

Nike	2% gr · 11% mgn · ~25x P/E
Scale leader, mid-cycle reset; women's/DTC is lululemon's edge vs Nike.	
Alo Yoga	· private
Influencer-led, fashion-forward; ~88% growth, taking US share at higher tickets.	
Vuori	· private
Workout-to-everyday; ~33%+ growth, premium-priced, gaining share.	
On Holding	30% gr · 10% mgn · ~45x P/E
Premium performance, fast-growing; adjacency pressure.	

THREAT VECTORS · FALSIFIERS

- Branding** · Alo Yoga + Vuori (US share)
falsifier: Americas revenue declines for 2+ years while DTC share falls below 22%.
- Counter-Positioning** · Fast-fashion dupes
falsifier: Gross margin compresses below 55% on sustained promotions/markdowns.
- Scale Economies** · Nike / macro down-trade
falsifier: International growth decelerates below 10% while the US keeps shrinking.

COMPETITIVE READ

lululemon's brand Power is genuinely durable internationally (China +29%, only 16% of revenue) and underpinned by cornered-resource fabrics, but it is eroding in the saturated US where Alo/Vuori and dupes are taking DTC share and the founder calls the product stale. The ~60% de-rating to ~10x FCF prices structural impairment; the DCF tests whether the brand stabilizes — and even a real-impairment ultra-bear is only ~34%, while the modal stabilization implies the sell-off overshoot.

Lululemon Athletica show your work

Bear \$157.77 Base \$235.52 Bull \$324.02 · Weighted \$209.94 (+80.4%)

ULTRA BEAR					BEAR					BASE					BULL					ULTRA BULL				
\$84.51					\$157.77					\$235.52					\$324.02					\$409.07				
ASSUMPTIONS					ASSUMPTIONS					ASSUMPTIONS					ASSUMPTIONS					ASSUMPTIONS				
5y revenue CAGR (%)					-3.8					5y revenue CAGR (%)					+1.0					5y revenue CAGR (%)				
Year-5 op margin (%)					12.0					Year-5 op margin (%)					20.0					Year-5 op margin (%)				
WACC (%)					11.5					WACC (%)					10.5					WACC (%)				
Terminal growth (%)					0.0					Terminal growth (%)					1.5					Terminal growth (%)				
5y revenue CAGR (%)					-3.8					5y revenue CAGR (%)					+1.0					5y revenue CAGR (%)				
Starting revenue (\$B)					11.10					Starting revenue (\$B)					11.10					Starting revenue (\$B)				
Scenario probability (%)					15					Scenario probability (%)					32					Scenario probability (%)				
5-YEAR DCF · \$B					5-YEAR DCF · \$B					5-YEAR DCF · \$B					5-YEAR DCF · \$B					5-YEAR DCF · \$B				
FY	Rev	Margin	FCF	PV FCF	FY	Rev	Margin	FCF	PV FCF	FY	Rev	Margin	FCF	PV FCF	FY	Rev	Margin	FCF	PV FCF	FY	Rev	Margin	FCF	PV FCF
FY26	10.54	+16%	+1.05	+0.94	FY26	11.10	+18%	+1.22	+1.10	FY26	11.43	+21%	+1.49	+1.36	FY26	11.65	+22%	+1.63	+1.50	FY26	11.88	+23%	+1.78	+1.64
FY27	10.02	+14%	+0.90	+0.73	FY27	11.10	+18%	+1.22	+1.00	FY27	11.89	+21%	+1.55	+1.29	FY27	12.47	+23%	+1.87	+1.57	FY27	13.06	+24%	+2.09	+1.77
FY28	9.62	+12%	+0.77	+0.56	FY28	11.21	+19%	+1.34	+1.00	FY28	12.37	+22%	+1.73	+1.32	FY28	13.34	+23%	+2.00	+1.55	FY28	14.37	+24%	+2.30	+1.80
FY29	9.33	+12%	+0.75	+0.48	FY29	11.44	+19%	+1.37	+0.92	FY29	12.98	+22%	+1.82	+1.26	FY29	14.28	+24%	+2.28	+1.62	FY29	15.81	+25%	+2.69	+1.94
FY30	9.14	+12%	+0.73	+0.42	FY30	11.66	+20%	+1.40	+0.85	FY30	13.63	+22%	+1.91	+1.21	FY30	15.28	+24%	+2.44	+1.59	FY30	17.23	+25%	+2.93	+1.95
Σ PV explicit FCF					+3.13					Σ PV explicit FCF					Σ PV explicit FCF					Σ PV explicit FCF				
+ PV terminal (g 0.0%)					3.69					+ PV terminal (g 1.5%)					+ PV terminal (g 2.0%)					+ PV terminal (g 2.5%)				
EQUITY BUILD · \$B & PER SHARE					EQUITY BUILD · \$B & PER SHARE					EQUITY BUILD · \$B & PER SHARE					EQUITY BUILD · \$B & PER SHARE					EQUITY BUILD · \$B & PER SHARE				
Operating EV					\$6.82B					Operating EV					Operating EV					Operating EV				
+ Cash & investments					\$1.80B					+ Cash & investments					+ Cash & investments					+ Cash & investments				
= Equity value					\$8.62B					= Equity value					= Equity value					= Equity value				
FY30 shares (M)					102					FY30 shares (M)					FY30 shares (M)					FY30 shares (M)				
= Expected per share					\$84.51					= Expected per share					= Expected per share					= Expected per share				
FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT					FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT					FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT					FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT					FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT				
+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y	
\$145.64	\$250.99	\$432.54	\$745.43		\$259.92	\$428.20	\$705.44	\$1,162.17		\$370.76	\$583.67	\$918.84	\$1,446.47		\$498.54	\$767.07	\$1,180.24	\$1,815.94		\$615.10	\$924.90	\$1,390.73	\$2,091.18	
1.25×	2.16×	3.72×	6.40×		2.23×	3.68×	6.06×	9.98×		3.19×	5.01×	7.89×	12.43×		4.28×	6.59×	10.14×	15.60×		5.28×	7.95×	11.95×	17.97×	

Lululemon Athletica

People · Opportunity · Context · Deal

Bear \$157.77 Base \$235.52 Bull \$324.02

Underwrite the position the way a venture investor underwrites a round — across all four legs, public or private. **People** is the leg scored here (observable only); Opportunity, Context and Deal cross-reference the rest of the memo.

PEOPLE · WHO RUNS / OWNS / FUNDS IT

Interim co-CEOs (M. Frank, A. Maestrini)

7%insider ownership

MEDIUMkey-person risk

Capital allocation (realized)
No dividend; capital returned via large executed buybacks (~\$2.5B / 9.1M shares Dec-2023→Aug-2025; +\$1.0B Dec 2025, ~\$1.6B remaining), otherwise reinvested in stores/product. The one notable deal — Mirror (~\$500M, 2020) — failed: a ~\$443M post-tax impairment (FY2022), hardware ceased 2023.

Incentive alignment
Standard structure (base + cash bonus + majority-equity PSU LTI). Say-on-pay passed but support slipped 93% (2024) → 83% (2025), into the range proxy advisors flag, and two directors drew weak support (76% / 72%).

GOVERNANCE FLAGS

- single-class (one share, one vote)
- independent chair, separate from CEO; but classified (staggered) board
- founder Chip Wilson ~8.7% (off the board since 2015) ran a public proxy fight
- settled May 2026: 2 Wilson nominees (+1 more) + a declassification commitment; ~18-mo standstill

PEOPLE READ

Professionalized and single-class with an independent chair and disciplined buybacks — but a live governance moment: CEO Calvin McDonald is out (Jan 2026; interim co-CEOs + external search), a founder proxy fight just settled (Chip Wilson ~8.7%, two board seats), a classified board, the failed Mirror deal, and slipping say-on-pay support.

THE FOUR LEGS

People

observable composite · 1–5

Opportunity

The scenario distribution · the Page-3 business snapshot · the Arthur Indicator (LULU 1.95)

Context

The 7 Powers analysis (Power Audit)

Deal

Open-market purchase = the deal: entry price vs. the scenario distribution (the +65% finding) + position sizing.



Lululemon Athletica

supporting analysis · disclaimers · glossary

Bear \$157.77 Base \$235.52 Bull \$324.02

PUSHBACK · WHY THE BASE CASE IS TOO HARSH

- 1

~10x FCF for a 22%-margin brand.
Net-cash, \$1.58B FCF, ~22% operating margin — priced like a terminal-decline retailer, not a premium brand.
- 2

Cornered-resource fabrics.
Proprietary Nulu/Luxtreme/Everlux blends + fit/quality are the hardest thing for Alo/Vuori/dupes to replicate.
- 3

Huge international runway.
China +29%, international +22%, only ~16% of revenue — a multi-year growth engine the US weakness masks.
- 4

Heavy buyback at the lows.
No dividend; ~\$1.6B authorization remaining, retiring shares at ~10x FCF — accretive.
- 5

New CEO from Nike.
Heidi O'Neill (ex-Nike) + a settled founder proxy fight = fresh product/turnaround optionality.

FALSIFICATION TRIGGERS

Bull validation US/Americas revenue returns to growth · international stays >20% · gross margin re-expands above 58% · footwear/men's scale	Bear validation Americas declines for 2+ years · DTC share falls below 22% · gross margin compresses below 55% on sustained promotions	Reframe needed if the brand goes structurally cold (Under-Armour path) the cornered-resource Power erodes — re-rate the terminal toward a commodity-apparel multiple
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GLOSSARY · CONCEPTS REFERENCED IN THE NARRATIVE

DTC / wholesale — Direct-to-consumer (stores + digital, ~60% of sales, higher margin) vs wholesale; the channel mix that supports the brand premium.	Dupes — Lower-priced look-alikes (and premium challengers Alo/Vuori) eroding lululemon's US share — the central bear mechanism.	Power of Three x2 — Management's plan to double men's + digital and quadruple international vs 2021 — now at risk on the FY26 guide.
Cornered resource — Helmer Power: proprietary fabrics + fit/quality that rivals can't easily copy — lululemon's most durable moat.	FCF margin — Free cash flow / revenue (~14% in FY25); the mature-DCF lever the 22% operating margin converts to.	